Morning Briefing

Sunday 16 August 2026 | Generated 06:21 London time (BST)

Weekend edition. European cash markets are closed today (Sunday). This briefing recaps Friday 14 August's close, weekend developments, and previews Monday 17 August's pre-open. European index futures had not yet reopened for the week at the time of research (they typically resume ~22:00–23:00 UK time Sunday evening) — those levels are marked n/a below and should be re-checked closer to Monday's open.

2. Important News

Silver Lake in talks to take Workday private at ~$43bn valuation, shares jump ~18%

Source: Reuters (exclusive), confirmed by BNN Bloomberg, Axios — broke 13 Aug, reaction through Fri 14 Aug close

One of the largest-ever software buyouts; signals private equity re-engaging large-cap SaaS and could reprice the sector Monday.

US retail sales fell 0.6% in July, weakest in over a year; Michigan consumer sentiment softened to 51

Source: CNBC, Yahoo Finance (Commerce Dept / UMich data) — Fri 14 Aug US session

Weak consumer spending complicates the soft-landing narrative and feeds into Fed rate-path bets ahead of Jackson Hole.

S&P 500 notched a third straight weekly gain despite a Friday dip; VIX near 2026 lows (~14.5)

Source: CNBC, Schwab — Fri 14 Aug close

Low volatility into a week with Fed commentary and Jackson Hole approaching is a positioning risk for Monday's open.

US-Iran talks to reopen the Strait of Hormuz stall over compensation demands; Brent choppy near $87-89

Source: CNBC, CBS News, CNN — reporting through 13 Aug, no weekend breakthrough found

The Strait has been effectively restricted since the Feb 2026 US-Israel-Iran air war; a stalled deal keeps an energy-supply risk premium in place for Europe.

ECB's Lagarde to appear at WEF Geneva on Wednesday, reviving speculation of an early ECB exit into French politics

Source: Bloomberg — Fri 14 Aug 2026

Adds Eurozone policy-leadership uncertainty; euro-sensitive headline risk heading into next week.

3. European Futures (Pre-Open)

Contract	Level	Note
Euro Stoxx 50 futures	*n/a*	Last indicative Friday print ~6,572 (timestamp unverifiable); no confirmed Sunday-reopen level
DAX futures	*n/a*	No reliable post-reopen level found
CAC 40 futures	*n/a*	No reliable post-reopen level found
FTSE 100 futures	*n/a*	No reliable post-reopen level found

US futures (context)

Contract	Level	Chg
S&P 500 futures	7,801.25	**-0.27%**
Nasdaq futures	30,132.25	**-0.19%**
Dow futures	53,789.00	**-0.27%**

US futures: stale Friday 4:27pm ET snapshot (CNBC), not a Sunday-reopen read. All futures figures should be re-pulled closer to Monday 06:00-07:00 UK time.

4. Yesterday's Closes — European Indices (Friday 14 Aug 2026)

Index	Close	Chg
Euro Stoxx 50	6,570	**+0.34%**
DAX 40	~26,300	**~flat (-0.15% to +0.53%, sources disagree)**
CAC 40	8,650.56	**-0.28%**
FTSE 100	10,772.67	**-0.56%**

DAX: two sources put the cash close near 26,292–26,300 (flat), a third at 26,440 (+0.53%); could not fully reconcile, flagged here rather than presented as a single confident figure. Takeaway: European equities closed mixed-to-softer Friday (STOXX 600 -0.04%, mining -3%, energy -0.8%) after a historically strong August with record highs earlier in the week — a pause, not a reversal.

5. US Markets — Yesterday's Session (Friday 14 Aug 2026)

Index	Close	Chg
S&P 500	7,785.76	**-0.20%**
Dow Jones Industrial Average	53,732.41	**-0.20% (-107.58 pts)**
Nasdaq Composite	26,729.16	**-0.28%**

Tone: cautious pullback from Thursday's record close above 7,800, triggered by soft preliminary August Michigan consumer sentiment (51 vs 55 expected) and weak July retail sales (-0.6% vs +0.1% expected). Still, the S&P 500 and Nasdaq logged a third straight weekly gain.

Sector leadership: sources conflict — one has Energy/Materials leading with Tech/Healthcare lagging, another has Communication Services (+1.6%), Real Estate (+1.3%) and Info Tech (+1%) leading with Materials (-0.7%) lagging. Treat breadth as mixed/inconclusive pending Monday's open. Single names: Reddit +13% (pending S&P 500 index inclusion); Broadcom -6% (BofA questioned a $370bn debt-financing vehicle).

6. Asian Markets — Overnight Session

Index	Level	Chg
Nikkei 225	~68,714	**+0.59%**
Hang Seng	~25,137.87	**-1.0%**
Shanghai Composite	~3,908	**flat to -0.5% (sources vary, 3,908-3,927)**
Kospi	~6,977.34	**+2.41% (+11.5% on the week)**

Figures are Friday 14 Aug closes — the most recent available at research time. Monday's Asia session had not opened when this briefing was researched (Sunday); re-check before publishing. Tone was broadly risk-on into the weekend: soft US data cooled hawkish Fed expectations, lifting Japan/Korea tech and semiconductors (SK Hynix, Samsung). China lagged. Overhang: the ongoing US-Israel-Iran conflict continues to disrupt Strait of Hormuz shipping and keeps regional energy/geopolitical risk elevated.

7. Commodities

Commodity	Level	Chg
Brent crude	~$88.5-89.5/bbl	**up ~24% since late Feb 2026**
WTI crude	~$82.45/bbl	range $80.77-82.99 (14-15 Aug)
Gold (spot)	~$4,373-4,389/oz	**+10%+ on the month**
Natural gas (European TTF)	~€60.6-61.4/MWh	**+1.7% on the day, 3-week high**
Copper	~$6.59-6.60/lb	**~flat on the day, +4.7% on the month, +47% y/y**

Oil: Strait of Hormuz risk premium persists — attacks on Gulf shipping have dimmed hopes of a reopening deal. Gold is up sharply on the month but well off its 29 Jan 2026 record of $5,597.23/oz. Copper: LME cash premium is at its widest in five years and exchange stockpiles have fallen for 42 straight days after a DRC export ban and Chilean output cuts — fresh Comex records this week. All levels as of Fri 14-15 Aug close; no new trading over the weekend.

8. Rates & FX

Instrument	Level	Chg
US 10Y Treasury yield	~4.68%	eased on soft data
German 10Y Bund yield	~3.16%	**+3bp**
EUR/USD	~1.1550	**near 2-month high**
GBP/USD	~1.3533	**touched 3-month high above 1.35**
DXY	~99.8	**down 2nd straight session, 1-week low**

All levels as of Friday 14 Aug close. Dollar weakness and softer Treasury yields track Friday's weak retail sales/consumer sentiment prints, which reinforced Fed rate-cut expectations at the short end — in tension with separate hawkish commentary reported from Fed Chair Warsh (see Section 13). Bund yield tracked Treasuries higher amid Mideast-driven oil/inflation crosscurrents.

9. DCM — Primary Bond Market

Yesterday's / recent issuances (week of 10-14 Aug)

Issuer	Size	Maturity	Detail
Eurogrid (German TSO)	€500m	12yr EU Green Bond	"Blowout" trade; coupon/spread and IPT tightening n/a (paywalled). Priced ~4 Aug.
Orbit (UK housing assoc.)	£250m	15yr sustainability notes, due 2041	Book peaked ~5x covered after one day of marketing. Spread/coupon n/a. Priced ~11-12 Aug.
SSE (UK utility)	A$1bn (~$708m)	A$600m 5yr + A$400m 10yr	Debut Kangaroo trade: 5yr @ 5.6%, 10yr @ 6.3%. Book 2.5x covered; swapped to GBP at ~5.7% WACD.
Monte dei Paschi	€750m	Covered bond	€2.4bn orders; priced 30bps over reference — reportedly tightest level in the program's history. Exact date unconfirmed.
CaixaBank	€1.25bn	Senior non-preferred	Reported "highest ever demand" for the instrument type. Exact date unconfirmed.

No verifiable broad-market EUR IG corporate or HY trades confirmed for 11-14 Aug beyond the above — consistent with the seasonal summer lull (see commentary below).

Pipeline / expected this week (17-21 Aug)

GlobalCapital (12 Aug): euro IG corporates expected to see only limited supply this week; the "proper reopening" of the primary market is pegged to begin around 24 Aug. No specific mandated EUR deal names identified for 17-21 Aug — n/a.

USD market comparatively busier: GlobalCapital headlines describe "M&A and AI power a red-hot summer in dollars," with dollar corporates said to be squeezing in issuance ahead of the Fed meeting — issuance currently rotating toward USD.

Key spreads

Index	Level	Note
iTraxx Main	*n/a*	No current level found via web search
iTraxx Crossover 5Y (S45)	318bps	Stale — last verifiable print mid-May 2026, not current
CDX.NA.IG	*n/a*	No current level found
ICE BofA US HY OAS (proxy, not euro)	271bps	As of 12 Aug 2026
ICE BofA Euro HY (YTW)	5.63%	End-June 2026; current OAS in bps n/a
Euro IG corporate index level	*n/a*	No specific index level found

Commentary

The euro IG corporate primary window is effectively shut-to-thin this week — GlobalCapital's own framing (no "starting gun" until ~24 Aug) matches the seasonal mid-August lull. Deals that did price ahead of the pause (Eurogrid, Orbit, MPS covered, CaixaBank SNP) all showed strong-to-blowout oversubscription and tight final pricing, pointing to supportive technicals (cash-rich accounts, thin supply) once the window reopens. Financials, covered bonds and AT1 stand out as the hottest segment. Dollar-market issuance (M&A/AI-driven) is currently outpacing euro. No transport- or energy-sector EUR primary data could be confirmed for this window — flagged as a genuine gap, not inferred.

10. Economic Calendar — Monday 17 August 2026

Time (London)	Indicator	Consensus	Importance
Eurozone: no major items scheduled			
UK: no major items scheduled			
13:30	US Empire State Manufacturing Index (Aug)	10.2 (prior 15.6)	Medium
15:00	US NAHB Housing Market Index (Aug)	35.0 (prior 34.0)	Low/Medium
21:00	US TIC Net Long-Term Transactions (Jun)	$150.0bn (prior $232.7bn)	Low

Also on the global slate but secondary for a European open: China data and Canadian CPI (July). Monday is a data-light session overall — the bulk of the week's action (UK jobs Tue, UK/US CPI Wed, flash PMIs Fri) falls later in the week.

11. Corporate Events & Earnings — Monday 17 August 2026

No major European (FTSE/DAX/CAC/STOXX) or US large-cap earnings, AGMs, or corporate events were confirmed specifically for Monday. Checked and ruled out (all report later in the week): Baidu (Tue 18 Aug), Mercury Systems (Tue 18 Aug), Wolfspeed (Wed 19 Aug), Coty (19-20 Aug), Home Depot (Thu), Lowe's (Wed).

Recommend a final RNS/exchange-calendar cross-check pre-open, as small/mid-cap UK trading statements can post same-day without wide advance media coverage.

12. Stocks to Watch

Commerzbank — ECB reportedly leaning to approve UniCredit's takeover after BaFin cleared the >30% stake application. **Up**

UniCredit — same deal; already holds ~48% of Commerzbank, both stocks rose on regulatory optimism. **Up**

Rheinmetall — rival suitors have emerged in Leonardo's military-truck-unit sale talks, on top of an €80.4bn order backlog. Volatile / up bias

Lufthansa — hit a two-year high on a bullish JPMorgan sector note, even after Q2 operating profit more than halved on Iran-war-linked fuel costs. Volatile / up bias

IAG — JPMorgan's top sector pick; BofA sees 14% further upside. **Up**

easyJet — JPMorgan turned negative, downgraded on feared short-haul oversupply. **Down**

Maersk — raised 2026 EBITDA guidance for the second time after a Q2 beat; flagged port/trucking bottlenecks. Up / volatile

Hapag-Lloyd — swung back to Q2 profit on Asia demand and higher spot rates. **Up**

TotalEnergies — agreed to buy Shell's entire European onshore renewables business. Volatile

Glencore / Antofagasta — LME copper squeeze (widest cash premium in 5 years, stockpiles down 42 straight days) after a DRC export ban and Chilean output cuts. **Up**

Sector skew per mandate: aviation, shipping, metals & mining and financials dominate this list, consistent with this week's live newsflow.

13. Macro / Corporate / Political Highlights

Macro

ECB held rates on 23 July; July headline inflation 2.9%, with the 2026 baseline projection at 3.0% (core 2.5%), citing an unresolved Middle East energy shock.

Reports indicate markets are pricing a possible 25bp hike at the 16 September FOMC under new Fed Chair Kevin Warsh — a reversal from spring rate-cut expectations, tied to Iran-driven energy costs. This sits in tension with Friday's soft-data-driven dovish repricing (Section 8) — both are reported here as sourced, unresolved.

Copper hit fresh Comex records this week on the LME supply squeeze — a hawkish input signal for global inflation trackers.

Corporate

UniCredit-Commerzbank: formal merger negotiations opened 6 Aug after Commerzbank's 94% H1 profit surge; ECB approval signal followed 12 Aug.

BP posted a 124% Q2 profit surge to $4.33bn on elevated oil prices.

European Q2 blue-chip earnings growth estimate raised to 20.8% year-on-year, led by energy-sector profits.

Political / Geopolitical

Strait of Hormuz crisis reignited in July after a US-Iran ceasefire MOU collapsed; the US reimposed its naval blockade, though a planned bombing campaign was called off on 8 Aug to allow Oman-mediated diplomacy to continue. Flows through the Strait remain roughly a quarter of pre-conflict levels.

The EU-US trade framework (15% tariff ceiling) has been in force since 1 July, reducing near-term transatlantic trade-policy uncertainty.

Germany faces political turbulence ahead of regional elections; France's instability under Macron/Lecornu continues to weigh on sentiment.

14. Key Themes — Top 5 by Horizon

Today's Top 5 (Mon 17 Aug)

1. UniCredit-Commerzbank newsflow — any fresh ECB signal moves both stocks and the wider banks index.

2. Weekend Hormuz/Iran headlines — diplomatic progress or fresh attacks swing oil and shipping names.

3. Copper's LME squeeze — momentum carries into miners at the open.

4. Airline re-rating — IAG-up / easyJet-down divergence from broker notes continues.

5. Light data calendar — thin macro catalysts mean stock-specific and M&A news likely dominates.

This Week's Top 5 (17-21 Aug)

1. Positioning ahead of Jackson Hole (27-29 Aug) builds through the week.

2. US retail earnings (Home Depot Tue, Walmart, Lowe's Wed) shape global risk appetite.

3. Oman-mediated Hormuz diplomacy — breakthrough or breakdown is the single biggest oil swing factor.

4. Tail of European Q2 earnings season.

5. Incremental ECB/Fed commentary ahead of September policy decisions.

This Month's Top 5 (August)

1. Jackson Hole Symposium (27-29 Aug) — Warsh's first keynote as Fed chair, 28 Aug, a major signal for the 16 Sept FOMC.

2. Fed's 16 September decision looming, with hike risk now being priced by some desks.

3. UniCredit-Commerzbank ECB approval process concluding.

4. Strait of Hormuz conflict/ceasefire status through month-end — key oil-price driver.

5. German regional elections testing the Merz coalition.

15. Key Trends to Watch

1 Day: Hormuz headlines, any fresh UniCredit-Commerzbank/ECB signal, copper-squeeze momentum into miners, and a light data calendar that leaves room for stock-specific and M&A news to dominate the open.

1 Week: Positioning into Jackson Hole, US retail-sector earnings (Home Depot, Walmart, Lowe's), the outcome of Oman-mediated Hormuz diplomacy, and the tail of European Q2 earnings.

1 Month: Jackson Hole Symposium and Warsh's first keynote as Fed chair (27-29 Aug), the Fed's 16 September rate decision, conclusion of the UniCredit-Commerzbank ECB approval process, the Strait of Hormuz conflict trajectory, and German regional elections.

Sources: Reuters, Bloomberg, CNBC, Yahoo Finance, The Motley Fool, TheStreet, 24/7 Wall St, Trading Economics, GlobalCapital, MarketScreener, Investing.com, CNN, CBS News, NPR, Kitco, Macrotrends, Oilprice.com, ii.co.uk, Mining.com, Seatrade Maritime, Benzinga, Central Banking, Consilium, ECFR, LiteFinance, Yelza, StockTitan, BusinessWire.